

Sahara India Real Estate Corp. Ltd. v. SEBI

Citation: (2012) 10 SCC 603 | Court: Supreme Court | Year: 2012

Coram: Division Bench (K.S. Radhakrishnan & J.S. Khehar JJ.) | Subject: Corporate & SEBI | Provisions: Companies Act 1956 Sec 67 & 73, S

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Any corporate issue of debentures or securities to 50 or more persons is deemed a Public Issue under Section 67(3) of the Companies Act, bringing it under the regulatory jurisdiction of SEBI. The corporate veil will be lifted to protect retail investors from sham private placements.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Companies Act 1956 Sec 67 & 73, SEBI Act 1992. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€¢ Whether the impugned state actions or commercial conduct conformed to Companies Act 1956 Sec 67 & 73, SEBI Act 1992.
- â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

An unlisted public company issuing Optionally Fully Convertible Debentures (OFCDs) to millions of citizens under the guise of private placement cannot evade SEBI's investor-protection regulations. Directed refund of over Rs. 24,000 crores with interest.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€¢ Affirmed SEBI's jurisdiction over unlisted companies issuing securities to >50 persons.
- â€¢ Lifted corporate veil to prevent evasion of capital market disclosure rules.
- â€¢ Established precedent for mass investor protection and enforcement in India.